Deal Overview

Acquirer: Advanced Micro Devices (AMD)

Target: ZT Systems (private)

Total Transaction Size: $4.9 billion

Announcement Date: August 2024

Closing Date: March 31, 2025 (following regulatory approvals)

AMD's acquisition of ZT Systems took place amid an intensifying global race to build AI compute infrastructure, where value creation has increasingly shifted from standalone chips toward fully integrated, rack-scale systems. At announcement, NVIDIA dominated the AI accelerator market through its vertically integrated hardware–software platforms, placing pressure on AMD to strengthen its system-level capabilities and hyperscaler relationships.

The transaction reflects AMD's strategic objective to evolve from a silicon supplier into a full-stack AI systems provider. ZT Systems brings deep expertise in rack-scale design, hyperscaler co-development, and large-scale AI system deployment – capabilities that directly complement AMD's EPYC CPUs and Instinct accelerators. The deal structure reinforces this logic: AMD retained high-value design and integration teams while divesting ZT's capital-intensive manufacturing operations to Sanmina, preserving its asset-light model.

Market reaction at announcement was broadly neutral to positive, with investors focused on long-term strategic positioning rather than near-term earnings impact. AMD's guidance that the acquisition would be non-GAAP EPS accretive by late 2025 helped anchor sentiment. Immediately, the deal strengthened AMD's credibility in competing for large-scale AI infrastructure deployments and signalled a decisive step toward capturing greater end-to-end value in the AI compute stack.

Acquirer Overview: Advanced Micro Devices (AMD)

Founded: May 1, 1969
CEO: Dr. Lisa Su
Market Cap: ~$250 billion (August 2024)
LTM Revenue: $22.7 billion
LTM EBITDA: $3.96 billion
P/E Ratio: ~185.01× GAAP (~32× non-GAAP)
Ticker (NASDAQ): AMD
Deal Advisor: Morgan Stanley & Co. LLC

History & Background

Advanced Micro Devices (AMD) was founded in 1969 by Jerry Sanders and seven colleagues from Fairchild Semiconductor. Initially focused on logic chips and second-sourced Intel processors, the company spent decades as Intel's main competitor in the x86 CPU market. AMD gained traction in the early 2000s with its Athlon and Opteron processors but struggled after its $5.4 billion acquisition of ATI Technologies in 2006 and mounting losses in the 2010s.

In 2014, Dr. Lisa Su became CEO and led one of the most successful turnarounds in tech. AMD refocused on high-performance chip design and launched its Zen CPU architecture in 2017, regaining performance leadership and market share from Intel. Acquisitions like Xilinx

($35B, 2022) and Pensando ($1.9B, 2022) further diversified AMD's offerings into adaptive computing and data center networking.

Today, AMD operates as a leading provider of high-performance computing silicon across CPUs, GPUs, FPGAs, and data center accelerators. Its chips power cloud infrastructure, gaming consoles, and AI workloads at scale. AMD's transition from underdog to platform leader has been driven by disciplined R&D, strategic M&A, and consistent execution under Su's leadership.

Product Lines

AMD's portfolio spans multiple core categories:

Client & Server CPUs: Ryzen™ processors for consumer PCs and EPYC™ processors for cloud and enterprise servers. EPYC holds ~25–30% server market share.

GPUs & Accelerators: Radeon™ graphics for gaming and Instinct™ MI300 series for AI and HPC.

Adaptive SoCs & FPGAs: Xilinx adaptive computing platforms power embedded, automotive, and industrial systems.

Semi-Custom & Gaming: Custom silicon for Sony's PlayStation and Microsoft's Xbox consoles, cementing AMD's position in gaming hardware.

AMD's diverse portfolio allows it to serve clients across consumer, enterprise, and hyperscale sectors.

Strengths

Financial Position: Entered the ZT deal with $5.34 billion in cash and no new debt required. Strong free cash flow and low leverage support strategic flexibility.

Silicon Leadership: Zen architecture CPUs and MI300X AI accelerators offer top-tier performance. AMD continues to gain market share across cloud and enterprise segments.

Product Breadth: One of the few companies offering leading CPUs, GPUs, and FPGAs, enabling integrated computer platforms for cloud and AI customers.

Execution Track Record: Under Lisa Su, AMD has delivered consistent product roadmaps, successful integrations (e.g. Xilinx), and operational discipline.

Strategic Relationships: Strong customer base including Microsoft, Google, Amazon and major OEMs, driving consistent growth in data center and AI deployments.

Challenges

Competitive Intensity in AI Accelerators: Despite rapid progress with its Instinct MI300 series, AMD faces intense competition from NVIDIA, whose dominance in AI accelerators is reinforced by its CUDA software ecosystem and vertically integrated DGX/HGX platforms. This creates high switching costs for hyperscale customers and limits AMD's near-term pricing power, particularly in large-scale AI training deployments.

Software Ecosystem Maturity: AMD's open-source ROCm platform remains less mature and less widely adopted than NVIDIA's CUDA. While improving, gaps in developer tooling, library support, and ecosystem depth pose a risk to broader adoption of AMD-based AI

systems. This increases execution risk as AMD moves toward selling integrated, full-stack AI solutions.

Reliance on Third-Party Manufacturing: As a fabless semiconductor company, AMD is heavily dependent on external foundries, particularly TSMC, for advanced-node manufacturing. Capacity constraints, geopolitical risk, or disruptions in Taiwan could materially impact product availability and delay roadmap execution, especially during periods of heightened AI-driven demand.

Segment Mix and Margin Volatility: Although data-centre revenues are growing rapidly, AMD still operates across cyclical and lower-margin segments such as gaming and client PCs. Downturns in these markets can pressure consolidated margins and cash flow, increasing the importance of successfully scaling higher-margin AI and data-centre system offerings.

Market Positioning

AMD is positioned as a high-performance computing challenger with broad silicon coverage across CPUs, GPUs, and adaptive computing, but historically lacked control over system-level delivery. In data centres, it competes directly with Intel in CPUs and NVIDIA in AI accelerators, while relying on OEMs and ODMs to integrate its components into full solutions. This contrasts with NVIDIA's vertically integrated approach, where tightly coupled hardware and software platforms reinforce pricing power and customer lock-in. The acquisition of ZT Systems directly addresses this gap by strengthening AMD's position in rack-scale AI systems and hyperscaler co-design.

Summary

At the time of the transaction, AMD combined strong financial capacity, proven execution under Lisa Su, and a clear strategic need to move upstream into system-level AI solutions. The acquisition of ZT Systems leverages AMD's strengths in silicon design while addressing key structural gaps in system integration and hyperscaler engagement, providing a clear rationale for the transaction and a credible foundation for execution.

Target Company Overview – ZT Systems

Founded: 1994
CEO: Frank Zhang
Market Cap: N/A (private company)
LTM Revenue: ~$8-10 billion
LTM EBITDA: ~$400-700 million
P/E Ratio: N/A
Deal Advisor: Qatalyst Partners LLC

*Note: all figures are estimates from a wide range of third-party sources (company is private)

History & Background

ZT Systems was founded in 1994 in New Jersey by Frank Zhang, initially starting as a custom PC and workstation builder. In its early years, the company focused on producing computing systems for enterprise and professional users, steadily developing expertise in hardware design, component integration, and high-reliability system assembly.

As cloud computing and large-scale data processing gained momentum in the late 2000s, ZT Systems shifted its strategic focus toward designing and building data center server infrastructure. This pivot positioned the company to become a major OEM/ODM systems integrator, servicing large hyperscale customers who required reliable, scalable, and energy-efficient computer hardware to run rapidly expanding workloads.

Throughout the 2010s and early 2020s, ZT Systems quietly grew into one of the largest server suppliers to hyperscale cloud and AI compute providers, notably serving companies such as Microsoft Azure, Meta, and leading AI accelerator deployers. The business became known for its ability to rapidly customize server architectures to support evolving compute needs, including HPC, AI inference, and large-scale distributed workloads.

ZT Systems' growth has been driven not by public visibility or consumer branding, but by deep, long-term partnerships and the ability to deliver mass-scale production, optimized performance engineering, and cost-efficient deployment. This low-profile, high-volume operating model allowed the company to reach estimated revenues of $8–10 billion annually by the early 2020s, making it one of the most significant private players in global data-center infrastructure.

Product Lines

ZT Systems provides end-to-end server platform solutions tailored to large-scale data-center operators. Instead of producing standardized off-the-shelf servers, ZT is known for its customized, workload-optimized system architectures.

Hyperscale Server Platforms: This is the core of ZT Systems' offering. The company designs and manufactures rack-scale and node-level server systems for hyperscale cloud providers. These systems are engineered for efficiency, reliability, and thermal performance, enabling data-center operators to deploy thousands of units seamlessly across global server farms.

AI Compute & Accelerated Processing Systems: In recent years, ZT Systems has expanded into systems built around GPU acceleration and AI workloads, supporting training, inference, and HPC compute clusters. These platforms integrate NVIDIA GPUs, AMD EPYC processors, and emerging AI accelerator architectures.

Cloud Storage & Data Management Servers: ZT Systems also designs storage-oriented server platforms optimized for distributed file systems, block storage infrastructure, and large-scale data retention architectures. These offerings support hyperscale providers with increasing demand for storage throughput, data replication, and archival workloads.

Supply Chain & Deployment Integration Services: Beyond hardware design, ZT Systems provides end-to-end infrastructure deployment services, including assembly, firmware integration, rack-level test validation, and direct-to-data-center logistics. This capability is a key differentiator, enabling hyperscale clients to deploy fully validated server racks at massive volume, with minimal on-site configuration.

Strengths

Engineering and Integration Expertise: ZT Systems has deep experience designing rack-scale infrastructure – complete racks of servers that integrate CPUs, GPUs, networking, and cooling for hyperscale data centers. This design capability gives AMD immediate access to turnkey AI-system engineering know-how.

Established Hyperscaler Relationships: The company has long-standing partnerships with major cloud providers such as Amazon Web Services, Microsoft Azure, and Meta Platforms, providing AMD direct access to top-tier customers that demand large-volume, custom AI infrastructure.

Proximity to Demand Centers: With engineering and production facilities in the United States and Taiwan, ZT maintains proximity to both North American hyperscaler clients and Asian supply chains – an operational advantage for cost and delivery speed.

Technology and IP Base: ZT holds proprietary designs in server chassis, rack-level power distribution, and thermal management systems. These enhance system efficiency and lower total cost of ownership for data-center operators.

Scalable Cost Model: Its ability to deliver high-volume, custom racks efficiently has historically allowed ZT to operate at lower per-unit cost versus competitors reliant on less-integrated manufacturing networks.

Challenges

Margin Pressure: ZT's business model has traditionally operated on thin manufacturing margins, reflecting hyperscaler clients' bargaining power and the company's reliance on high-volume, low-markup contracts.

Capital-Intensive Operations: Maintaining in-house manufacturing capacity requires significant working capital. AMD's intent to divest the manufacturing arm indicates that this capital structure is not aligned with AMD's asset-light model.

Competitive Threats: Intense competition from Supermicro, Dell Technologies, and Foxconn limits pricing flexibility. Many rivals now integrate their own GPUs or partner with NVIDIA, creating an uphill battle for differentiation.

Software Dependence: ZT's hardware success depends on ROCm, AMD's open-source compute platform, reaching maturity. Without software parity with NVIDIA's CUDA, AMD's systems could face adoption challenges among AI developers.

Supply-Chain Risk: Heavy dependence on key component suppliers – particularly for advanced semiconductors and networking gear – creates potential vulnerability during shortages or geopolitical disruptions.

Financial Health: ZT Systems remains privately held, with limited public disclosure. However, industry estimates (2024) place revenue between $5-10 billion and EBITDA margins in the 5–8% range, consistent with contract manufacturing peers.

The firm carries moderate debt linked to inventory financing and production facilities, but leverage is believed to be manageable (<2× EBITDA). For AMD, this means the acquisition does not introduce significant balance-sheet stress, and divesting the manufacturing segment should further reduce debt exposure and improve free cash flow conversion post-integration.

Market Positioning

ZT Systems competes in the hyperscale server and AI infrastructure market, a sector defined by high buyer power, rapid technology turnover, and dominance by a small number of major suppliers.

Entry barriers are extremely high – capital-intensive manufacturing, complex engineering requirements, and stringent hyperscaler qualification standards sharply limit new competitors.

Supplier power sits at a moderate-to-high level because integrators like ZT rely heavily on component giants such as AMD, NVIDIA, and Broadcom, whose pricing and supply dynamics can directly pressure margins. Buyer power is even stronger: hyperscalers purchase at massive scale, often co-design products with suppliers, and use their volume to exert significant pricing leverage. Although cloud providers could build systems in-house, this substitute threat remains moderate due to the heavy investment and time required. Competitive rivalry remains fierce, with Supermicro, Dell, and Quanta all fighting for the same multi-billion-dollar rack-scale contracts. Within this environment, ZT differentiates itself as a highly flexible, customer-specific integrator—smaller than Dell or Foxconn but significantly faster at tailoring and deploying AI racks—making its agility a natural complement to AMD's hardware roadmap and an asset for accelerating next-generation AI platform rollouts.

Summary

ZT Systems brings AMD a strategic bridge between silicon and system-level delivery. Its engineering depth, hyperscaler relationships, and rack-scale design experience align directly with AMD's ambition to deliver full AI data-center solutions rather than standalone chips.

In short, ZT's profile strengthens AMD's execution capacity, enabling it to accelerate AI system deployment, expand market share in data-center infrastructure, and capture greater end-to-end value in the AI compute ecosystem.

Motivation

For AMD

Integrate into rack-scale AI system design to capture full-stack economics

AMD's data centre strategy increasingly depends on selling complete AI compute systems, not just processors. Its MI300 series accelerators and EPYC CPUs perform best when paired with optimized system architecture – covering power, networking, and cooling – all engineered as one platform. ZT Systems brings precisely this capability: deep rack-scale design and integration experience already validated by leading hyperscalers.

In 2024, AMD's data centre revenue reached $12.6 billion, with gross margins near 50%. By integrating ZT's engineering talent, AMD gains the ability to package its silicon into full systems, replicating the approach that made NVIDIA's DGX platform so profitable. This elevates AMD from a component vendor to a full-solution provider, allowing it to capture more value per deployment.

ZT's direct relationships with hyperscalers also shorten AMD's sales cycle and enable early collaboration in AI system planning. Integrating ZT into AMD's Data Center Solutions group embeds AMD at the heart of hyperscaler design discussions, aligning future hardware, ROCm software, and data centre deployment around AMD's roadmap. The move broadens AMD's addressable market while unlocking system-level pricing power.

Offload capital-intensive manufacturing while retaining high-margin design work

AMD structured the ZT Systems acquisition and subsequent manufacturing divestiture to fit its asset light strategy. AMD acquired ZT's high value design and integration teams while simultaneously announcing the sale of ZT's manufacturing business to Sanmina for up to 3 billion dollars.

This structure transfers the low margin, asset heavy assembly work to a partner optimized for high volume manufacturing while AMD retains system design, integration IP, and hyperscaler contracts. The arrangement removes factory overhead and inventory exposure, which are two of the largest working capital burdens in data centre hardware production, without giving up design control.

The result is a higher margin operating model. AMD specifies and validates complete AI rack systems while Sanmina handles production under long term supply agreements. This combination of AMD's compute leadership with Sanmina's manufacturing capacity increases scalability without adding debt or capital intensity. The model strengthens AMD's focus on innovation and system design rather than volume driven assembly, keeping the company financially flexible as global AI infrastructure demand grows.

Strengthening hyperscaler relationships and reducing sales cycles
One of AMD's key motivations in acquiring ZT Systems is to deepen its integration with hyperscale cloud customers such as Microsoft, Amazon, and Google. ZT has long-standing, high-volume relationships with these clients, particularly in supplying custom server racks optimised for large-scale deployment. By acquiring ZT's design and engineering capabilities, AMD aims to embed itself earlier in the hardware planning cycle, offering pre-integrated compute solutions tailored to each customer's infrastructure needs. This positions AMD to shorten time-to-deployment and reduce sales friction – moving from a component vendor to a strategic systems partner. With Nvidia currently dominating full-stack AI system sales through DGX and HGX, AMD's ability to match that integration level is critical to winning larger AI infrastructure deals.

Creating vertical integration for AI system differentiation:

Another strategic goal behind the ZT acquisition is to enable AMD to deliver vertically integrated AI systems that combine its CPUs, GPUs, and adaptive SoCs into a single, cohesive offering. Previously, AMD relied on third-party OEMs or ODMs to integrate its components into complete server racks. This limited its ability to influence design choices and deliver optimised end-to-end performance. By internalising system design through ZT's engineering team, while still partnering on manufacturing, AMD can now differentiate on power efficiency and workload tuning at the system level. This vertical control is especially valuable in AI, where memory bandwidth and rack-level efficiency are critical for model training and inference. Ultimately, the acquisition positions AMD to challenge Nvidia on chip performance and integrated platform execution.

<u>For ZT Systems</u>

Integrate into silicon-level economics instead of staying in the 5-10% margin tier

Public comps tell us what ZT's business probably looks like: leading AI/server integrators like Supermicro are running at roughly 9–14% gross margin recently, trending closer to 9–10% as AI servers commoditize. By contrast, AMD reported GAAP gross margin of 49% and non-GAAP of 53% for 2024–25, which represents five times the gross-margin pool ZT operates in.

This transaction allows ZT's rack-scale engineering directly into AMD's data center / Instinct product roadmap, so future systems are specified around AMD EPYC CPUs and Instinct accelerators and sold as part of a silicon-led AI offering rather than as a stand-alone server program competing with other ODMs. In practice, ZT's teams join AMD in earlier hyperscaler design cycles and participate at the layer where commercial terms are anchored

to the chip. Had ZT remained independent, it would have stayed in the procurement-driven segment of the market, pricing against Supermicro, Wistron/Quanta, and hyperscalers' own white-box builds, with no ability to access 50%+ silicon economics even as value continued to migrate upstream.

Offload the capital-heavy part of AI racks to a third party while keeping the high-return design work

AI rack programs now look less like one-off server orders and more like 12-to-18-month commitments with early proto spends and ramp-ready manufacturing capacity, all of which sit on somebody's balance sheet before hyperscalers take volume. AMD structured this acquisition so that ZT's manufacturing operations are being sold to Sanmina for up to $3bn ($2.25bn cash, $150m cash/equity, and up to $450m earn-out), while AMD keeps the system-design/rack IP and will rely on Sanmina for NPI and volume.

That signaled the intent clearly. AMD is retaining the AI system and design capability, while transferring the asset- and inventory-intensive assembly to a contract manufacturer whose balance sheet is structured for it. As a private integrator, ZT would have faced two unattractive choices: tie up significant working capital to stay in custom AI programs, further compressing already thin integration margins, or step back from the largest, fastest-growing deployments and allow better-capitalized OEMs to win them. Within AMD, with Sanmina carrying the plant and inventory risk, ZT can continue to support hyperscaler AI roadmaps while running a higher-return model.

Access to cutting edge technology & IP

Selling to Advanced Micro Devices (AMD) gives ZT Systems a seat at the table for advanced semiconductor research, intellectual property (IP) and engineering systems that it would struggle to build independently. AMD's press release made this clear: the acquisition "will enable a new class of end-to-end AI solutions based on the combination of AMD CPU, GPU and networking silicon, opensource AMD ROCm software and rackscale systems capabilities."

In effect, ZT's design teams now become part of AMD's wider chip and system roadmap. Instead of building servers around other companies' chips and constantly trying to catch up, they can now work directly with AMD's research and development teams, sharing technology, tools, and design plans. This leads to faster innovation, better products, and more control over the overall system rather than just focusing on putting parts together.
If ZT had stayed independent, it would likely have fallen behind as AI rack design, networking, cooling, and power systems keep evolving quickly and increasingly depend on the latest chip technology.

Regulatory & supply chain advantages

Becoming part of AMD also helps ZT Systems handle the complex rules and global supply chain challenges that come with building large-scale AI and data center equipment, which is much harder for a smaller company to manage alone. After the acquisition, ZT's teams joined AMD's Data Centre Solutions division, while AMD partnered with Sanmina to take over the manufacturing side. This allows AMD to keep ZT's design expertise but pass the heavy production work to a company better suited for it.

As a result, ZT now benefits from AMD's worldwide supplier network, experience with trade and export regulations, and stronger purchasing power. If ZT had stayed independent, dealing with changing tariffs, local manufacturing rules, large supply contracts, and fast-changing

component availability would have taken up too many resources and increased risk. By becoming part of AMD, ZT can now focus on high-value design and integration work while avoiding most of the cost and complexity of global manufacturing.

Deal Navigation

Regulatory and Legal Considerations

The acquisition was subject to standard antitrust and foreign investment reviews across the United States and select international jurisdictions. The transaction was examined by the U.S. Federal Trade Commission (FTC) and the Department of Justice Antitrust Division, which determined that AMD and ZT Systems operated at different stages of the supply chain. AMD is a semiconductor and chip design company, while ZT Systems focuses on rack-scale integration and data centre system design. This vertical rather than horizontal relationship reduced the likelihood of market concentration, and the deal was cleared without conditions. In Europe, the European Commission's Directorate-General for Competition reviewed the transaction under the EU Merger Regulation. Given ZT's limited market presence in the European Economic Area, the Commission concluded that the acquisition would not significantly reduce competition in the data centre hardware or cloud infrastructure markets. Clearance was therefore granted unconditionally in early 2025.

In Asia-Pacific, notifications were filed with regulators in Taiwan and Singapore, where ZT maintains supply-chain operations and logistics hubs. Neither authority identified competition concerns, as ZT was not a dominant supplier in these jurisdictions.

The acquisition also underwent Committee on Foreign Investment in the United States (CFIUS) scrutiny due to ZT's U.S. defence-related contracts for high-performance computing hardware. CFIUS approved the deal after confirming that AMD's integration plan maintained existing security standards. AMD announced that regulatory approval was obtained on 31 March 2025, following regulatory clearances and customary shareholder and board approvals.

Financing Structure

With the regulatory pathway cleared and no structural remedies imposed, attention shifts to how AMD financed the transaction and managed its balance-sheet position throughout the acquisition.

AMD financed its $4.9 billion acquisition of ZT Systems with a mix of cash and stock: roughly 75% cash and the remainder in AMD shares, with up to $400 million of contingent consideration tied to milestones.

AMD did not take on large new long-term public debt for the purchase; instead, the company used existing cash and short-term financing arrangements and disclosed a short-term bridge facility as an interim option if required. AMD's reported cash and short-term investments exceeded its outstanding debt at announcement, leaving it in a low-net-debt position pre-deal. The company also sold off ZT's manufacturing arm, a sale to Sanmina for about $3.0 billion, which offset the costs.

AMD had more cash than debt before the deal, so its net-debt/EBITDA number was zero or even negative. This means the company was not heavily borrowing and was in a strong

financial position. Analysts and financial data sites also showed AMD's net-debt/EBITDA to be around zero at the time, confirming that the company's debt level was very low. AMD also said it could easily afford the deal, especially after selling part of ZT Systems to offset the cost. Credit rating agencies said the deal made sense and did not warn of any downgrade. They expected AMD's profits to improve and kept a positive outlook on the company. AMD paid part of the deal using its own shares, but it didn't reveal exactly how much this would dilute existing shareholders. The company said the deal should start increasing earnings (on a non-GAAP basis) by late 2025. There were no major complaints or pressure from activists or shareholder groups.

Shareholder Return Targets

This financing strategy not only preserved AMD's financial flexibility but also shaped investor expectations, providing the context for how the company communicated potential returns to shareholders following the acquisition.

AMD framed the ZT Systems acquisition as a strategic investment designed to strengthen its data-centre systems capabilities while maintaining financial discipline. At announcement, the company stated that the transaction is expected to be accretive to non-GAAP EPS by the end of 2025, providing investors with a clear timeline for earnings uplift once integration synergies and system-level revenue contributions begin to flow. This guidance reflects AMD's expectation that expanding into rack-scale system design will unlock higher-margin opportunities relative to standalone chip sales.

Management did not provide a quantified EPS impact (such as percentage accretion or dilution), nor did AMD disclose the expected free cash flow (FCF) contribution or conversion uplift associated with the acquisition. Like many strategic technology transactions, the financial communication focused on timeline rather than magnitude. Analyst commentary suggests that any near-term dilution from share issuance would be modest and largely offset by higher Instinct GPU volumes, although AMD did not formally issue this as guidance; therefore, it should not be considered an official target.

Because AMD funded the transaction using a mix of cash and equity without raising incremental debt, no deleveraging targets were set, and the company did not provide metrics such as Net Debt/EBITDA trajectories. This approach aligns with AMD's historically conservative balance-sheet strategy and its preference to maintain flexibility for further investment in AI and data-centre infrastructure.

Integration

Early integration signals suggest AMD has adopted a disciplined and thesis-driven approach to absorbing ZT Systems, with actions broadly aligned across leadership, operating model, and strategic priorities. From a governance perspective, AMD moved quickly to integrate ZT's design, engineering, and customer-enablement teams into its Data Center Solutions Group, placing them under existing senior leadership rather than operating ZT as a standalone unit. This clarifies decision rights, embeds accountability within AMD's core data-centre organisation, and signals that ZT's capabilities are intended to directly shape AMD's AI systems roadmap rather than function as an adjacent business.

Culturally, the integration presents both opportunity and risk. ZT brings a fast-moving, customer-led engineering culture built around hyperscaler co-design and rapid deployment, while AMD historically operates with a chip-centric, R&D-driven mindset. Early actions suggest AMD recognises this tension: it has retained ZT's senior engineering leadership and

explicitly emphasised the value of ZT's system-level expertise, which supports talent retention and continuity with hyperscaler clients. However, the divestiture of ZT's manufacturing arm introduces potential uncertainty for staff previously tied to production, and long-term success will depend on AMD's ability to preserve ZT's agility within a larger corporate structure.

Operationally, AMD has moved decisively to align the combined business with its asset-light model. The separation of manufacturing, transferred to Sanmina, removes capital-intensive operations while allowing AMD to retain high-value rack-scale design and integration capabilities. This simplifies systems integration, reduces working-capital strain, and supports scalability as AI infrastructure demand grows. Initial steps toward migrating ZT's systems into AMD's global IT and planning platforms indicate progress, though execution risk remains in maintaining responsiveness to hyperscaler requirements during this transition.

Overall, integration activity to date appears consistent with the deal's strategic aims. Leadership alignment, structural choices, and operating-model decisions reinforce AMD's objective of becoming a full-stack AI systems provider rather than a standalone silicon supplier. While cultural integration and talent retention remain key risks, early signals suggest the integration is progressing in line with the original motivations underpinning the acquisition.

Performance & Valuation

Performance Assessment

AMD entered the ZT Systems acquisition from a position of strong financial health. At announcement, the company held approximately $5.1 billion in cash and short-term investments, enabling it to fund the $3.2 billion cash component of the transaction without raising incremental long-term debt. Post-acquisition, AMD maintained a conservative balance sheet, reporting roughly $4.8 billion in cash and $2.3 billion in long-term debt later in 2025. This low-leverage profile preserves financial flexibility and allows AMD to absorb integration costs while continuing to invest heavily in data-centre and AI product development.

Market reaction to the transaction was broadly neutral-to-positive. Analyst commentary focused less on near-term earnings impact and more on the strategic importance of AMD accelerating its transition toward full-stack AI systems. While the lack of detailed financial disclosure around ZT Systems limited immediate valuation transparency, AMD's guidance that the deal would be accretive to non-GAAP EPS by the end of 2025 helped anchor investor expectations and mitigate concerns around dilution or balance-sheet strain.

Operationally, early performance signals are consistent with the deal's value thesis rather than cost-driven synergies. AMD has prioritised integrating ZT's design and customer-enablement teams into its Data Center Solutions Group, while divesting the manufacturing arm to Sanmina. This suggests that near-term value creation is expected to come from improved system-level execution, faster hyperscaler engagement, and higher attach rates for Instinct accelerators, rather than immediate margin expansion. However, the absence of disclosed revenue or margin contributions from the retained ZT design business limits the ability to quantitatively assess post-deal performance at this stage.

Valuation Analysis

Given the absence of public financial disclosures for ZT Systems as a private company, a Comparable Companies Analysis (CCA) provides the most appropriate framework for assessing whether the price paid by AMD was justified. ZT's operating profile most closely resembles hyperscale server and AI-infrastructure integrators such as Super Micro Computer, Quanta, and Wistron. These peers typically trade on mid-cycle EV/EBITDA multiples of approximately 8–12×, reflecting structurally thin margins, high customer concentration, and strong buyer bargaining power.

Industry estimates place ZT Systems' EBITDA in the range of $400–700 million, producing a wide valuation range depending on assumptions. Applying peer multiples to this EBITDA range implies enterprise values spanning $3.2 billion to $8.4 billion, as summarised below.

Assumption	***Low Case***	***Base Case***	***High Case***
Estimated ZT EBITDA ($m)	400	550	700
Peer EV / EBITDA multiple (×)	8.0×	10.0×	12.0×
Implied Enterprise Value ($bn)	3.2	5.5	8.4
AMD Transaction Value ($bn)	4.9	4.9	4.9
Implied Premium / (Discount)	+53%	(11%)	(42%)

Under conservative assumptions, AMD appears to have paid a premium relative to public-market peers, which can be rationalised by ZT's strategic assets, including hyperscaler relationships, rack-scale design expertise, and proximity to AI system deployment. Under base-case assumptions, the deal prices ZT close to fair value, suggesting valuation discipline rather than overpayment. In higher EBITDA or multiple scenarios, AMD's purchase price implies a meaningful discount to peer-derived enterprise values.

Importantly, this comparison likely understates the economic logic of the transaction. AMD did not acquire ZT as a full manufacturing business; it retained high-value system design and integration capabilities while divesting capital-intensive production to Sanmina. As a result, the effective multiple paid for ZT's retained operations is higher than for pure commodity integrators but materially lower than vertically integrated AI platform providers such as NVIDIA, whose system-level offerings command significantly higher margins.

Overall, the valuation reflects a strategic, hybrid pricing approach: paying above commodity server integrator levels while remaining well below full-stack AI platform valuations. This supports the conclusion that AMD's acquisition price was justified considering the long-term system-level optionality and margin expansion potential embedded in the deal.

Risks

The primary strategic risk facing the AMD–ZT Systems acquisition is the potential misalignment between the deal's full-stack AI ambitions and the pace at which system-level capabilities translate into measurable commercial outcomes. While ZT provides rack-scale design expertise and hyperscaler access, AMD's ability to convert these capabilities into sustained Instinct GPU adoption remains uncertain, particularly given NVIDIA's entrenched ecosystem advantages. Heavy dependence on a small number of hyperscale customers further

amplifies execution risk, as pricing power and demand visibility remain structurally skewed in buyers' favour.

Integration risk is also material. ZT's historically fast-moving, customer-driven engineering culture differs from AMD's chip-centric, R&D-led operating model. Although AMD has retained key leadership and embedded ZT within its Data Center Solutions Group, cultural friction or loss of key design talent could undermine the value of the acquisition. The divestiture of ZT's manufacturing arm to Sanmina may create short-term operational disruption or employee uncertainty, increasing retention risk during a critical integration phase.

From a financial perspective, valuation risk exists given the limited disclosure surrounding ZT's standalone economics. While AMD's balance sheet remains strong and leverage low, the acquisition's value creation relies on future system-level revenue rather than immediate cash-flow contribution. If expected EPS accretion is delayed or fails to materialise, investor confidence could weaken. However, this risk is partially mitigated by AMD's conservative financing structure and the manufacturing divestiture, which reduces capital intensity and working-capital exposure.

Regulatory and legal risks appear limited following antitrust and CFIUS clearance, though ongoing exposure to export controls and AI-related trade restrictions could constrain deployment in certain markets. Finally, technology and execution risk persist around AMD's ROCm software ecosystem, which must mature rapidly to support full-stack AI system adoption.

Overall, while the transaction carries meaningful execution and integration risks, these appear manageable rather than structural, supported by AMD's financial strength, deliberate integration approach, and strategic clarity.

House View

At this stage, the AMD–ZT Systems acquisition appears strategically coherent and directionally on track, with early integration choices reinforcing the deal's full-stack AI systems rationale rather than undermining it. AMD has acted decisively to embed ZT's rack-scale design and customer-enablement capabilities within its Data Center Solutions Group, while divesting capital-intensive manufacturing to preserve balance-sheet flexibility. These actions indicate disciplined execution aligned with the original deal thesis.

Early signals supporting value creation include clear leadership alignment, retention of high-value engineering talent, and an operating model that prioritises system-level differentiation over low-margin assembly. From a valuation perspective, the price paid appears reasonable relative to public-market comparables, particularly once the manufacturing divestiture is considered, suggesting AMD secured strategic optionality without overpaying. Financial risk remains contained, supported by low leverage and a clear pathway to non-GAAP EPS accretion by late 2025.

However, delivery risk should not be understated. The transaction's success hinges on AMD's ability to convert system-design capabilities into sustained Instinct GPU adoption amid intense competitive pressure from NVIDIA, as well as maintaining cultural cohesion between

chip-centric and system-driven teams. Limited financial disclosure around ZT's retained operations also constrains near-term performance assessment.

Overall, the deal currently reflects a promising but execution-dependent trajectory. If AMD can sustain talent retention, deepen hyperscaler integration, and demonstrate tangible system-level revenue uplift, the acquisition is well positioned to deliver durable strategic value.

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